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WELLINGTON HBCU SCHOLARS PROGRAM

Empowering the next generation of Black investment and business professionals.

4th Annual HBCU Stock Pitch Competition

OFFICIAL STOCK PITCH MATERIALS

Agenda

1. DELIVERABLES
2. COMPETITION GUIDELINES & FORMAT
3. PRESENTATION GUIDELINES & FORMAT
4. LIST OF AVAILABLE STOCKS
5. EVENT LOGISTICS
6. OPTIONAL RESOURCES

Deliverables

OBJECTIVES

- Your team will present a "buy", "hold" or "sell" recommendation for a stock with a 12 – 36 month holding period.
- Your team must prepare a PowerPoint presentation that should be 10 – 25 slides in length
- Your team will give a 10-minute (maximum) presentation on the stock idea, outlining your decision and investment considerations.
- Immediately following the presentation, judges will hold a 10 – 15-minute Q/A session based on your analysis & recommendation.
- All members of the team must contribute to the presentation

Competition Guidelines & Format

STRUCTURE

- Teams of 4 full-time students representing 8 HBCU's will be participating in the 4th Annual HBCU Stock Pitch Competition sponsored by Wellington Management and Citi.
- Prior to the competition, teams will choose a stock to pitch from the provided list of US equities. Teams must inform their university advisor and the Wellington representatives of their stock selection.
- After the selected security is confirmed, teams can begin to prepare their investment pitch.
- Students are expected to maintain integrity throughout the event. While internal/external resources may be used, presentations should be 100% original, with facts & market data backed by their respective source(s).

Competition Guidelines & Format

STRUCTURE

- Each pitch will be allotted a total of 25 minutes:
  - 10-minute presentation based on your investment recommendation.
  - 10–15-minute Q/A session by the judges, which will occur immediately after the presentation.
- Time limits will be strictly enforced, therefore practice your presentation to lock in timing.
  - All students on each team are required to participate in the presentation and the Q/A session.
  - You have full discretion on how to construct and deliver your presentation.
  - <u>The only requirement is that the 1st page of your presentation must state: your recommendation (“buy”, “hold” or “sell”), and a stock price target (how much you think the stock is worth).</u>

Competition Guidelines & Format (cont.)

STRUCTURE (cont.)

- A panel of judges (Wellington + external parties) will be evaluating your pitch on:
  - the depth of your analysis.
  - your ability to understand the business and identify important factors that will determine the stock's performance.
  - the quality of your presentation and your answers during the Q&A period.

List of Available Stocks

Consumer Staples		Consumer Discretionary		Technology
The Honest Co. Inc. (HNST)		GameStop (GME)		Morningstar (MORN)
National Beverage Corp. (FIZZ)		LA-Z-BOY Inc. (LZB)		Microstrategy Inc. (MSTR)
Westrock Coffee Co. (WEST)		SharkNinja Inc. (SN)		Ubiquiti (UI)
PriceSmart (PSMT)		PotBelly Corp. (PBPB)		Vicor (VICR)
Mission Produce (AVO)		VF Corporation (VF)		Roku (ROKU)
Tootsie Roll Industries (TR)		Draft Kings (DKNG)		Snowflake (SNOW)
Mondelez (MDLZ)		Disney (DIS)		Amazon (AMZN)
Proctor & Gamble (PG)		Lululemon (LULU)		Microsoft (MSFT)

List of Available Stocks (cont.)

Healthcare		Industrials		Financials
Pacira Biosciences (PCRX)		U-HAUL (UHAL)		Fannie Mae (FNMA)
Ironwood Pharma. (IRWD)		Emcor Group (EME)		Apollo Global Mgmt. (APO)
Owens & Minor Inc. (OMI)		MSA Safety (MSA)		JPMorgan Chase (JPM)
Cardinal Health (CAH)		GrafTech (EAF)		Wells Fargo (WFC)
UniFirst Corp. (UNF)		Mueller Industries Inc. (MLI)		Visa (V)
Cencora Inc. (COR)		Novanta (NOVT)		Credit Acceptance Corp (CACC)
Walgreens (WBA)		Caterpillar Inc. (CAT)		Robinhood Markets (HOOD)
Johnson & Johnson (JNJ)		Deere & Company (DE)		PayPal (PYPL)

Detailed Timeline (Important Dates)

FEBRUARY

- 16th: Teams Finalized and info given to Wellington
- 16th: Competition Rules and Materials Distributed
- 16th: Teams Start to Prepare Pitches & Presentations
- 20th – March 8th: Flights and Hotels Booked

MARCH

- 1st – 31st: Teams work on pitches and presentations
- 18th – 29th: Mentors made available for practice presentations

APRIL

- 5th: Presentations Due to Wellington
- 11th: Teams Arrive (Dinner at Wellington)
- 12th: Competition and Events
- 13th: Teams fly home

Day of Event (Run of Show)

GROUP A

- 7:00 – 7:30 am: Check In
- 7:30 – 8:20 am: Breakfast
- 8:30 – 9:00 am: Morning Meeting
- 9:00 – 9:30 am: Competition Intro
- 9:30 – 10:00 am: Prep Time
- 10:00 – 11:30 am: Group A Presentations
- 11:30 – 12:20 pm: Lunch
- 12:30 – 2:30 pm: Trading Tour/Activity
- 2:30 – 2:40 pm: Break
- 2:45 – 3:45 pm: Judge Deliberation
- 2:45 – 3:45 pm: Speakers Session
- 3:45 – 4:00 pm: Winner Announcement
- 4:00 – 5:20 pm: Break
- 5:30 – 7:00 pm: Networking Reception
- 7:00 – 7:30 pm: Break
- 7:30 pm: Social Event at SPIN Boston

GROUP B

- 7:00 – 7:30 am: Check In
- 7:30 – 8:20 am: Breakfast
- 8:30 – 9:00 am: Morning Meeting
- 9:00 – 9:30 am: Competition Intro
- 9:30 – 10:00 am: Prep Time
- 10:00 – 11:30 am: Trading Tour/Activity
- 11:30 – 12:20 pm: Lunch
- 12:30 – 2:30 pm: Group B Presentations
- 2:30 – 2:40 pm: Break
- 2:45 – 3:30 pm: Judge Deliberation
- 2:45 – 3:45 pm: Speakers Session
- 3:45 – 4:00 pm: Winner Announcement
- 4:00 – 5:20 pm: Break
- 5:30 – 7:00 pm: Networking Reception
- 7:00 – 7:30 pm: Break
- 7:30 pm: Social Event at SPIN Boston

Optional Resources

We are providing a few resources to prepare for the competition. **You are not required to build your presentation or formulate your investment thesis based on any of the below resources, or examples.**

BASICS OF A STOCK PITCH

- Buyside Focus - *The Insider Guide to Developing a Stock Pitch*
- Mergers & Inquisitions - *How to Pitch a Stock*
- Study Now - *How to Pitch a Stock*
- Analyst Solutions - *15 Tips for Presenting Impressive Stock Pitches*

ADDITIONAL RESOURCES

- ASimpleModel.com
- Wall Street Prep

SAMPLE STOCK PITCH PRESENTATIONS

These showcase various student stock pitch competitions that have taken place recently.

- 2019 *Wharton Investment Club Stock Pitch (please see appendix)*
- 2018 Fink *Center Stock Pitch Competition*
- 2019 YIS *Global Stock Pitch 1st place winner*
- 2019-2020 Security *Analysis Stock Pitch Competition*
- 2020 YIS *Global Stock Pitch Competition 1st place winner*

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Appendix

WHARTON INVESTMENT CLUB STOCK PITCH PRESENTATION

Wharton
UNIVERSITY of PENNSYLVANIA

How to Pitch a Stock

Investment Management Club

Fall 2019

What is a Stock Pitch?

Elements of a Stock Pitch

Key Components

- Summary of the idea
- How the company makes money
- 2-3 key thesis points
  - Variance vs. Consensus (particularly impt. for HFs)
  - Key Catalysts noting divergent view + catalysts
- Valuation
- Risks & Mitigants (often in Q&A)

The following slides outline the process of developing and presenting a pitch

Stock Price Drivers

Stock Price = Multiple x Earnings

A stock price can be decomposed into an financial metric expectation and a "multiple"

Stock Price = **Valuation Metric** x **Multiple**

- In order for a stock price to go up, either the valuation metric (Revenue / EBITDA / EPS / FCF / Gross Profit) must grow or the Multiple must expand
- Most pitches focus on earnings growth rather than multiple expansion, as the former is easier to justify
- Companies trade on a variety of financial metrics, from those listed above to DCF (biotech). If you are unfamiliar with the appropriate metric, check research reports

Example

For a company trading on EPS, if you expect a stock to be up 30% but the company will only grow EPS 8%, how much would the multiple need to expand?

$$\Delta\text{Stock Price} = \Delta\text{EPS} \times \Delta\text{Multiple}$$

$$30\% = 8\% \times Z$$

$$Z = 20\%$$

Why do stocks move up and down?

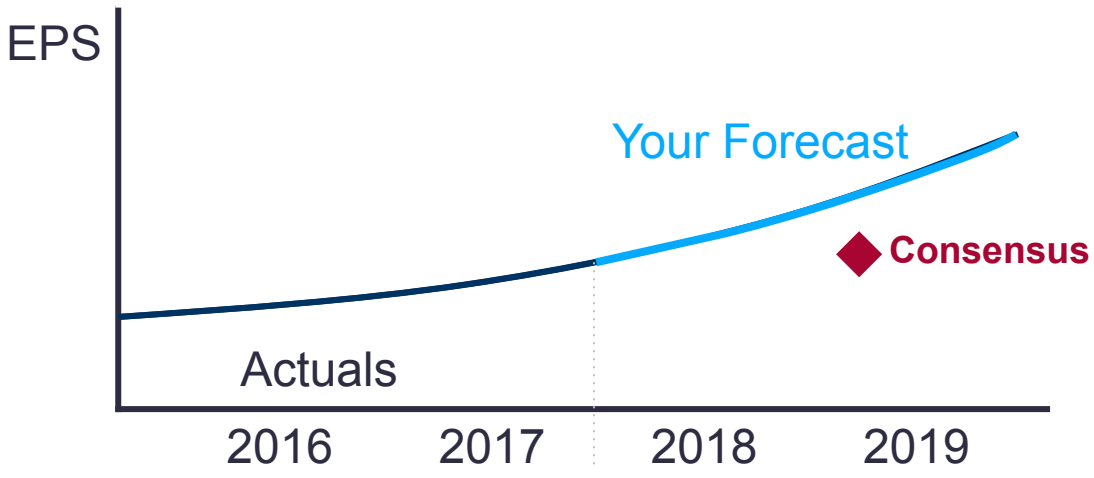
- Stocks go up or down due to supply and demand
- The balance between supply and demand shifts when something happens that the market does not expect
- “The market” can either refer to the current price or sell-side analyst price targets
- “Consensus” is more specific and refers primarily to the average sell-side analyst price target
- The goal of a pitch is to find a mispricing that is not already identified in consensus expectations

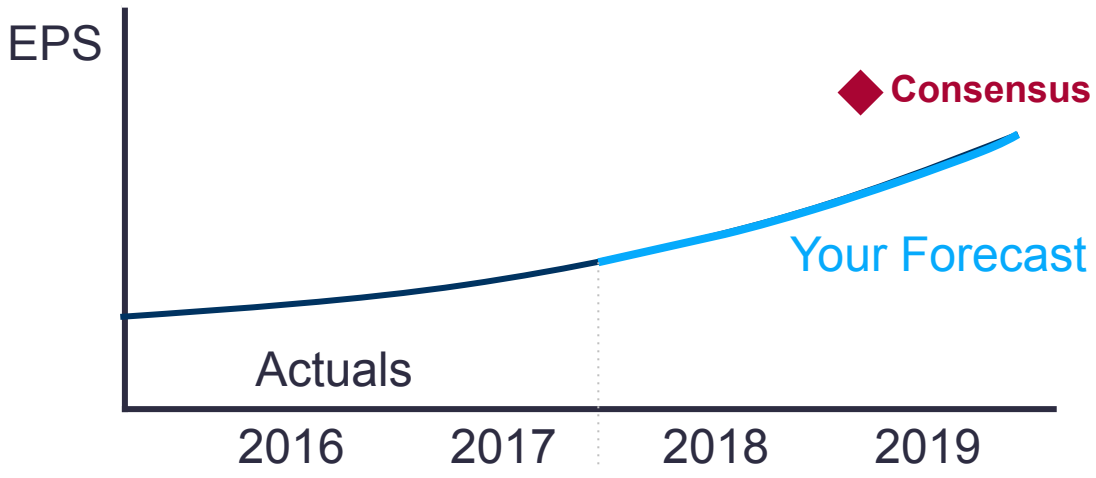
Generating Outperformance

	Investment Recommendation	
	Incorrect	**Correct**
Consensus	Value Destruction	**Market Return**
Non-Consensus	Value Destruction	**Outperformance**

- Generally speaking, an investment recommendation must be both non-consensus and correct to generate above-market returns.
- Specific cases are explored on the subsequent slides.

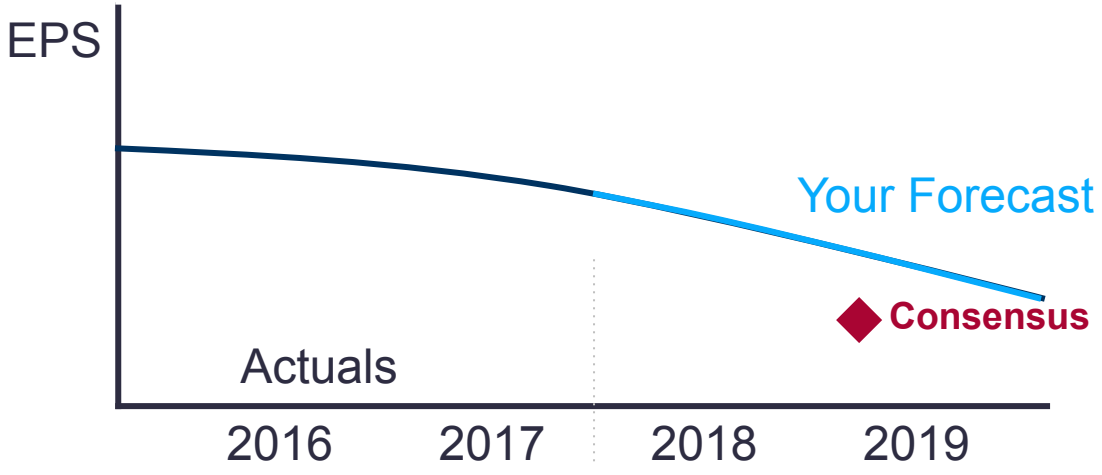
Your Forecast vs. Consensus – Increasing EPS Cases

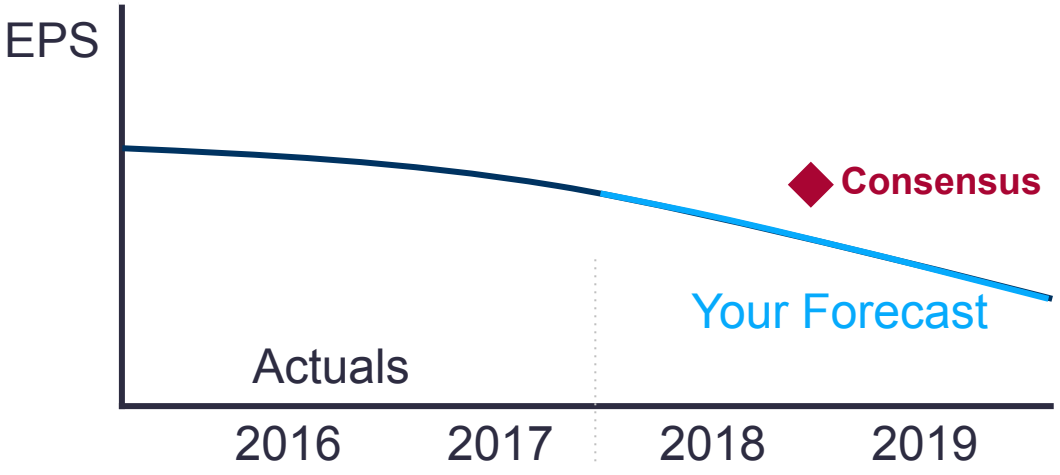




Setup	More Bullish Than Consensus	Less Bullish Than Consensus
Your EPS	Above Consensus	Below Consensus
Multiple	Likely to Expand	Likely to Contract
Pitch	**LONG**	Potential **SHORT**
Potential Scenario	Upside Case: Multiple Expansion	Downside Case: Multiple Unchanged

Your Forecast vs. Consensus – Decreasing EPS Cases





Setup	Less Bearish Than Consensus	More Bearish Than Consensus
Your EPS	Above Consensus	Below Consensus
Multiple	Likely to Expand	Likely to Contract
Pitch	Potential **LONG** (HF Recommended)	**SHORT** (HF Only)
Potential Scenario	Downside Case: Multiple Unchanged	Downside Case: Multiple Unchanged

Potential Pitch Themes

Drivers of EPS Growth		Example Theses
Revenue Growth	Price	Raising Price
		Mix
	Quantity	Demand Growth
		Share Gain
	Inorganic	M&A
Margin Expansion	Cost-Cutting	"Right-Sizing"
		Supplier Changes
	Cost Leverage	Incremental Margins
	Mix Shift	Mix
Capital Return	Excess Cash	Share Repurchases
	Dividend	Recap

Distilling a Theme into a Tagline

Illustrative Themes

- Something for Nothing
  - *"At the current valuation, you are getting the segment / business / asset X for free"*
- Opportunity that the market is missing (underappreciated segment, inflecting growth)
  - *"Currently this segment is 5% of revenue and unprofitable; as it scales the mix shift will increase margins, etc."*
- Hidden Cash Flow
  - *"Adjusting for X, the company has a 12% FCF yield"*
- Investment Horizon Arbitrage
  - *"Research dwells on short-term problem x, which obscures the long-term potential"*
- Downside Protection
  - *"Cash accounts for 75% of this company's market cap"*

Research Resources

Investment Checklist

- **Industry and Competitive Position** - 5 forces, cyclic trends, key drivers
- **Business Model** - how does the company actually make money, unit economics
- **Financials** – revenue growth, margins, sustainability, ROIC, capital structure, working capital, debt consideration
- **Valuation** – both absolute and relative versus peers
- **Risks** – pre-mortem your investment, Key Risks section of 10k
- **Catalysts** (must cover for HF)
- **Capital allocation** - dividends, share buy backs, acquisitions, etc (must cover for MF)
- **Management** - background, reputation, strategy, governance, compensation (found in the proxy)
- **Expectations** – who owns the stock, recent buys/sells, media attention or short reports

Valuation & Model

Valuation

- As discussed earlier, most pitches focus on a future stock price as the product of:

Stock Price = **Valuation Metric** x **(Forward) Multiple**

- Common multiples include P/E, EV/EBITDA, P/FCF, and EV/REV
- Be prepared to justify the selected valuation multiple. Try to select the multiple and financial metric that consensus uses for your company
- Recommendations:
  - Most pitches focus on fundamental price growth rather than multiple appreciation
  - Use forward multiples (e.g. NTM)
  - Compare the current forward multiple to the historical trading range (charting tool in Capital IQ)
  - Understand why your company trades at a premium / discount to its peer set
  - Pitches rarely use DCF analyses as these require more assumptions, which can be challenging to convey in the context of a short interview. Use as a supporting methodology, but not primary (excl. some spaces, like biotech)

Forward Multiples

- While most pitches simply maintain the forward multiple, be prepared to defend that multiple
- Know the stock's past trading range. For cyclic stocks, be prepared to share your view on the cycle
- Multiple are rarely constant. Below is the TEV / NTM EBITDA from Caterpillar (CAT):

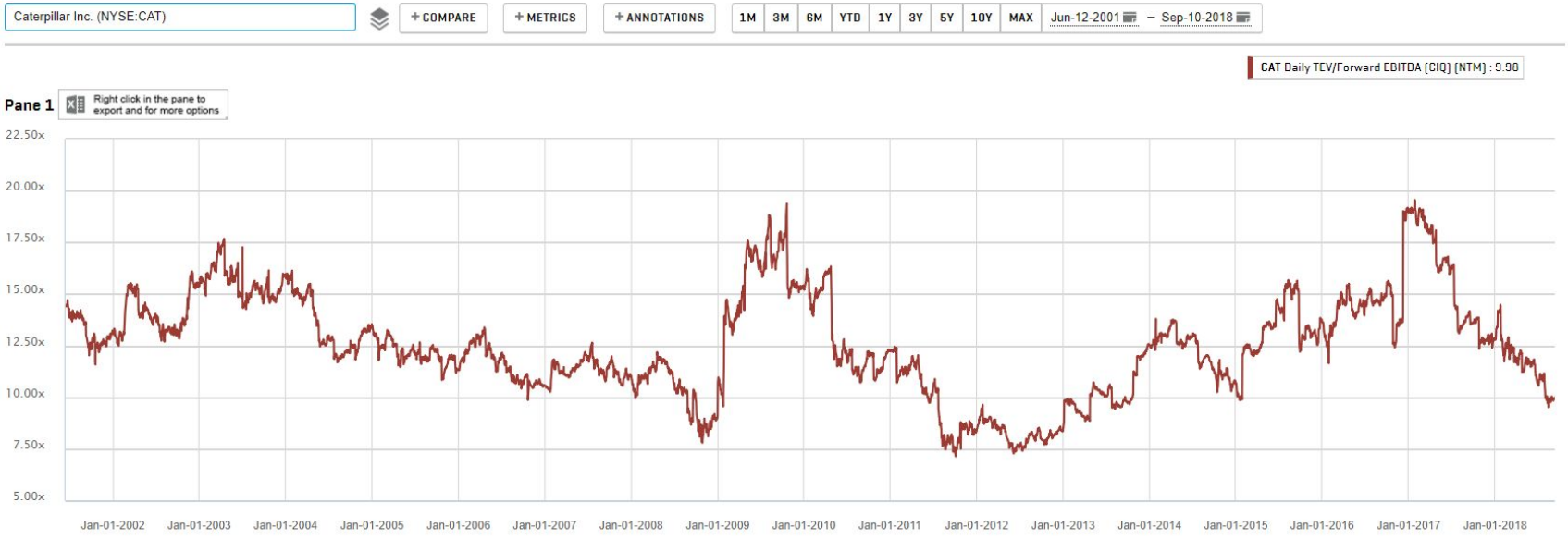


Chart Summary

Pane 1

NAME	BENCHMARK	INTRADAY PRICE	INTRADAY CHANGE	CHART STATISTICS: JUN-12-2001 TO SEP-10-2018 HIGH	LOW	AVG	CHANGE
Caterpillar Inc. (NYSE:CAT)		-	-	-	-	-	-
Daily TEV/Forward EBITDA (CIQ) (NTM)		142.05	0.73 | 0.52%	19.55	7.14	12.52	-4.41 | -30.63%

Model

- You get no credit for complex models, often, the simpler the better
- Model Scope
  - Minimum: Income Statement to with adjustments to FCF
  - Maximum: Full Three Sheet Model
- It isn’t unusual for a buy-side model to include as much or more work dedicated to the revenue and gross profit build than the other three statements combined
- If you have limited modeling experience, consider taking a Wall Street Prep style class (they may be free to Wharton students)

Example Pitch Model

- Models in any written pitches should be simple. This simple:

	2015	2016
Revenue	100.0	117.0
Growth		**17.0%**
Expenses	(77)	(86)
Growth		**12.5%**
EBITDA	23.4	31
Growth		**32.0%**
EBITDA Margin	23.4%	26.3%

7% Price
5% Quantity
5% M&A

75% of costs are variable w/ revenue.
25% are flat due to cost-savings

Model Structure

- Typical model scope is 2-3 years
- Quarterly data broadly expected in interview process
- Be prepared to discuss key model drivers and sensitivities
- Have upside and downside cases
- GAAP vs. non-GAAP (particularly EBITDA) – consider including a bridge between your metric and company-provided non-GAAP metrics
- Your model should show variance vs. consensus (and guidance) on key metrics

Key Elements of a Stock Pitch

Elements of a Stock Pitch

Key Components

- Summary of the idea
- How the company makes money
- 2-3 key thesis points
  - Variance vs. Consensus
  - Key Catalysts noting divergent view + catalysts
- Valuation
- Risks & Mitigants (often in Q&A)

Elements of a Stock Pitch – Time Allocation

Key Components	**"Two Minute Drill"**
• Summary of the idea	**20 Seconds**
• How the company makes money	15 Seconds
• 2-3 key thesis points	**60 Seconds**
• Variance vs. Consensus	
• Key Catalysts noting divergent view + catalysts	
• Valuation	15 Seconds
• Risks & Mitigants (often in Q&A)	10 Seconds

Pitch Delivery

- Lead with the conclusion
- Average pitch is 2-5 minutes. But be prepared for a 30 second pitch and 15 minutes of Q&A
- Be prepared; don't ramble
- A good pitch is simple, not complex. Pitches should be accessible to non-finance friends.
- Mention data, but don't overwhelm the interviewer
- Remember the pitch is an argument, so be open to where you have more or less conviction
- Even the best are wrong >30% of the time, have humility
- You will be asked questions that you cannot answer. "I don't know but here is how I would research your question" is a great answer.
- **Pitch presentation is often as important as the pitch contents**

Common Pitch Errors

- **Too much complexity – start simple and add complexity as you go**
- Forgetting to mention the company name, ticker, target price, stock price, upside/downside
- Not doing adequate homework (raw materials pricing risk, same store sales trends, current stage of cycle, etc). Read the 10-K
- Say too much in too little time
- Not knowing consensus expectations
- Pitching a “hold”. MFs and HFs have different levels of expected return. Tailor your pitch appropriately.
- Not knowing key risks to thesis
- Complicating the valuation story
- Making arbitrary assumptions that are not backed up

Layout of the One Pager

- **Key Statistics**: Company Name (+ Ticker), Market Cap, Target Price (% Upside) over Time Horizon
- **Overview**: Very brief description of what the company does (<u>one line to two lines max</u>)
- **Thesis**: 2-4 thesis points
  - Example: The market things **a** about driver X, whereas I think **b**. This creates $1.0 incremental EPS in 2019.
    - One sentence on why the market thinks what it does
    - One sentence on your divergent view & supporting work
- **Valuation**: I used a 15x P/E multiple on 2016 EPS of $3.0 to get to a stock price of $45.0. This is in line with the historical P/E multiple and where the comps are trading. I further triangulated this with [put in another approach as well]
- **Conclusion**: I think you should purchase company Z with a target price of $[ ] for [ ]% upside over [ ] years